

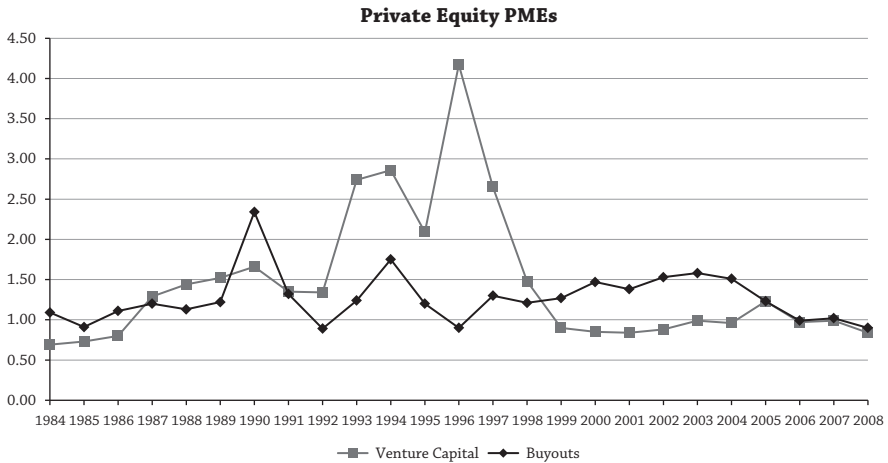


Figure 18.5

liabilities. Portfolio companies, which generate distributions in the numerator, are likely to have greater risk than the market portfolio. Using a higher discount rate for the numerator reduces the PME. Thus, in a careful risk treatment, the PME should exceed one before the LPs earn excess returns. Sorensen, Wang, and Yang (2012) show that an LP needs a break-even PME between 1.2 to 1.7 if the individual companies have a beta of 0.5, and break-even PMEs between 1.8 to 2.1 if the underlying individual companies have betas of 1.0. Using the latter benchmark, buyouts have only generated value for LPs briefly in the early 1990s.

3.4. RISK-ADJUSTED RETURNS

Measuring PE risk and returns is greatly hampered because returns are not directly reported, and IRRs, multiples, and PMEs are not return measures. Studies demonstrate that in the 1980s and early 1990s, PE investments beat public markets in terms of raw performance. The Harris, Jenkinson, and Kaplan (2011) study concludes, for example, that “it seems likely that buyout funds have outperformed public markets in the 1980s, 1990s, and 2000s.” But once risk is taken into account, it is not clear that PE funds are generating value—especially today. In fact, PE funds have most likely underperformed public equities on a risk-adjusted basis, a fact first documented by Kaplan and Schoar (2005) approximately 30 years after institutions started making such investments.

Aggregate PE returns are strongly pro-cyclical. There are negative relations between capital invested in a given year and the return of that vintage year.¹⁸ Phalippou (2011) finds large and negative correlations between the number of

¹⁸Kaplan and Stromberg (2009) document this effect for buyout funds and Kaplan and Lerner (2010) for VC funds. See also Gompers and Lerner (2000) and Axelson et al. (2012).